

Reputation of Existing Businesses

(Important for success/Not important for success)

Some businesses are businesses of reputation or goodwill, as reputation is required for success in the industry.



- For instance, in most financial institutions, business is achieved only if the firm has a good reputation.
- In such businesses, entrants cannot build a reputation overnight and this acts as a big competitive disadvantage for them, making entry itself difficult.

Expected Reaction by Established Firms to New Entrants

(Panic/Moderate strategic response/No reaction)

Every entrant to the industry is met with retaliation by the existing companies, of different degrees based on the outcome expected of the new entry.



Panic

Some large entrants are feared by the established players and the entry of such entrants creates panic in the industry.

- The established players retaliate with aggressive measures such as price wars, advertisement wars, and product launches and they mostly end up hurting the industry profitability.

